

Comprehensive Wealth Strategy Plan

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Executive Summary

Current Position: W-2 employee earning \$150K-\$199K with \$100K-\$250K in retirement accounts. Currently in debt settlement program (completing September 2026), rebuilding credit (670 score, targeting 720+), with \$1,500 liquid capital.

Strategic Approach: Three-phase strategy over 27 months, building foundation before property acquisition to ensure sustainable success.

Phase 1 Value (Now - Sept 2026)

- Cash Flow Improvement: +\$3,600 annually
- Potential Side Income: \$6,000-\$24,000 annually
- Credit Score Gain: 670 → 710-720
- Capital Accumulated: \$8,000-\$15,000

Phase 2 Value (Oct 2026 - Sept 2027)

- Property Cash Flow: \$9,600-\$18,000 annually
- Tax Savings: \$7,100-\$17,800 annually

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- Equity Building: \$3,000-\$8,000 annually

Section 1: Direct Answers to Your Questions

Q1: When should I initiate my LLC for STRs?

Answer: Q2 2026, when side income exceeds \$2,000/month consistently.

Reasoning: LLC before revenue creates unnecessary costs (\$200-\$300 setup, \$60-\$300 annual WA maintenance) without tax benefits. Operate as sole proprietor until income justifies entity formation.

Timeline:

- Now-Q1 2026: Sole proprietor for side hustles
- Q2 2026: Form LLC when \$2K+/month consistent
- Mid-2027: Separate STR LLC at property purchase

Q2: Can business credit building be shortened from 6 months?

Answer: Yes, 3-4 months possible, but personal credit is your bottleneck.

Timeline	Action
Week 1	EIN, business bank, DUNS number
Weeks 2-4	Open 3-5 Net-30 vendor accounts
Month 2	First business credit card
Month 4	Second card, increased limits

Reality Check: Your 670 personal score limits business approvals even with perfect business credit. Focus on improving personal credit to 720+ simultaneously—this is your actual constraint.

Q3: SDIRA or Solo 401k for house hacking + arbitrage?

Answer: Solo 401k superior once you have self-employment income, but neither works for house hacking.

Critical Issue: You cannot live in a property owned by your retirement account. This is a prohibited transaction and disqualifies the entire account. Your house hack goal fundamentally conflicts with retirement account ownership.

Recommended Path:

1. House Hacking: Use conventional financing (FHA 3.5%, conventional 5%, house hack programs)
2. Retirement: Start Solo 401k in 2027 when side income exceeds \$10K profit —use for traditional investments
3. Arbitrage: Use personal credit and cash flow, not retirement funds

Section 2: Current Position & Tax Profile

Category	Details
Household Income	\$150K-\$199K (W-2)
Monthly Expenses	\$5,300-\$6,000
Liquid Capital	\$1,500
Debt Settlement	\$1,520/mo until Sept 2026
Credit Score	670 (target: 720+)
Retirement Accounts	\$100K-\$250K

Tax Profile: Spokane, WA (0% state tax—major advantage). Estimated \$175K income = 24% federal marginal rate. Combined rate: 24%.

Key Constraints

- Capital: \$1,500 vs \$30K-\$50K needed for house hack
- Credit: 670 limits financing (need 680+ for approval, 720+ for best rates)
- Cash Flow: \$1,520/mo locked until Sept 2026
- Income: No current business income = no business deductions

Key Advantages

- Zero state tax: Every federal deduction = 24% savings (vs 18-19% in taxed states)
- Strong W-2 income for mortgage qualification
- Solid retirement foundation (\$100K-\$250K accumulated)
- Time available: 3-5 hrs/week sufficient for cohosting
- Spokane: Lower entry costs than Seattle/Portland

Section 3: Strategic Roadmap

Phase 1: Foundation (Now - Sept 2026) - 20 Months

Cash Flow Optimization

Source	Monthly	Annual
W-4 Optimization	+\$300	+\$3,600
Expense Reduction	+\$200-\$400	+\$2,400-\$4,800
Renovation Content	\$300-\$800	\$3,600-\$9,600
Mortgage Overage Recovery	\$200-\$600	\$2,400-\$7,200
Total New Flow	\$1,000-\$2,100	\$12,000-\$25,200

Sept 2026 Milestone: Debt completes, +\$1,520/mo unlocks. Combined capacity: \$2,500-\$3,600/mo.

Capital Accumulation

Period	Monthly Savings	Total
Now - Sept 2026 (20mo)	\$400-\$500	\$8,000-\$10,000
Oct 2026 - Apr 2027 (7mo)	\$2,500-\$3,500	\$17,500-\$24,500
Total by Apr 2027		\$25,500-\$34,500

Allocation: Emergency Fund (\$18K) + Down Payment (\$15-20K) + Closing (\$5-7K) + Reserves (\$5-8K) = **\$43K-\$53K total needed**

Credit Score Improvement

Action	Impact
Authorized user (done)	+10-20 pts

New credit line (done)	+10-15 pts
Debt settlement completion	+30-50 pts
On-time payments	+10-20 pts
Utilization <10%	+20-30 pts
Projected by Apr 2027	710-740

Side Hustles

1. **Renovation Content:** YouTube/TikTok. Target: \$300-\$800/mo by Q4 2026
2. **Mortgage Overage Recovery:** Research WA foreclosures, 30-40% fee. Target: \$200-\$600/mo
3. **Civil Engineering Consulting:** Upwork/Fiverr. \$75-\$150/hr. Target: \$500-\$2,000/mo

Cohosting (Low-Capital STR Entry)

Model: Manage others' properties for revenue split (15-25%), zero acquisition cost.

Setup: \$500-\$2,000 (locks, photos, supplies). Monthly: \$100-\$300.

Revenue: 2BR property grossing \$3,000/mo → Your share \$450-\$750 → After expenses \$300-\$600/mo profit.

Timeline: Q2 2026 research, Q3 secure agreement, Q4 launch first property.

Phase 2: Deployment (Oct 2026 - Sept 2027) - 12 Months

House Hack Target

Parameter	Conservative	Aggressive
Purchase Price	\$300-\$350K	\$350-\$450K
Down Payment (5%)	\$15-17.5K	\$17.5-22.5K
Total Capital Required	\$32-40K	\$40-51K

Property Income

Item	Conservative	Aggressive
Mortgage (PITI)	-\$2,400/mo	-\$3,000/mo
Rental Income (Other Units)	+\$1,800/mo	+\$2,500/mo
STR Income (Your Space)	+\$800/mo	+\$1,500/mo
Net Housing Cost	+\$200/mo	+\$1,000/mo
Annual Cash Flow	\$2,400	\$12,000

Entity Formation (Q1 2027)

- Form Consulting LLC for side income
- EIN, business bank account, DUNS number
- Form Property LLC at purchase (Q3 2027)
- Cost: \$400-\$600 total

Phase 3: Optimization (Oct 2027 - Dec 2028+) - 15+ Months

Year-One Tax Strategies (2027)

Strategy	Conservative	Aggressive
Solo 401k	\$2,400	\$8,400
Home Office	\$600	\$1,200
Accountable Plan	\$500	\$1,000
Vehicle Section 179	\$2,400	\$4,800
QBI Deduction (20%)	\$1,200	\$2,400
Rental Property Deductions	\$3,600	\$7,200
Total Year-One	\$10,700	\$25,000

Year-Two Tax Strategies (2028)

Strategy	Conservative	Aggressive
All Year-One Strategies	\$10,700	\$25,000
Cost Segregation Study	\$12,000	\$24,000
Augusta Rule (14 days)	\$1,200	\$2,400
STR Material Participation	\$3,600	\$7,200
Total Year-Two	\$27,500	\$58,600

Section 4: Tax Strategy Implementation

Strategy #1: W-4 Optimization - Immediate

Value: +\$3,600 cash flow annually

Adjust W-4 withholding to match actual liability, reclaiming \$300/mo overpayment immediately. Use IRS Tax Withholding Estimator, submit new W-4 to employer.

Strategy #2: Solo 401k - 2027

Value: \$2,400-\$8,400 tax savings

2025 Limits: \$23,500 employee + 25% employer = \$70,000 max

Example: \$30K net profit → \$10K contribution × 24% = \$2,400 savings

Setup: Requires self-employment income. Establish by Dec 31 for employee deferrals.

Strategy #3: Home Office Deduction - 2027

Value: \$600-\$1,200 tax savings

Method: Regular method (actual expenses × business %) recommended

Example: 150 sq ft office / 2,000 sq ft home = 7.5% business use

Annual expenses: \$30K total × 7.5% = \$2,250 deduction × 24% = \$540 savings

Requirements: Exclusive business use, contemporaneous documentation

Strategy #4: Vehicle Expense (Section 179) - 2027

Value: \$2,400-\$4,800 tax savings

Standard Mileage: 70¢/mile (2025) for business miles

Section 179: Heavy vehicle (>6,000 lbs) = immediate full expensing

Example: \$20K used truck $\times$ 70% business = \$14K deduction $\times$ 24% = \$3,360 savings

Critical: Maintain detailed mileage log (date, miles, purpose)

Strategy #5: Rental Property Deductions - 2027

Value: \$3,600-\$7,200 tax savings

Deductible: Mortgage interest, property tax, insurance, repairs, utilities, supplies, management, depreciation

Example \$350K House Hack:

Income: \$31,200 (rental \$21,600 + STR \$9,600)

Expenses: -\$27,600 (interest, tax, insurance, repairs, depreciation)

Net taxable: \$3,600 (despite positive cash flow)

Strategy #6: Cost Segregation - 2028

Value: \$12,000-\$24,000 first-year tax savings

Concept: Engineer identifies property components depreciable over 5/7/15 years vs 27.5 years. Apply 100% bonus depreciation for massive first-year deduction.

Example: \$350K property → Study identifies \$100K in accelerated assets → \$100K immediate deduction $\times$ 24% = \$24K savings (vs \$3K normal depreciation)

Cost: \$3,500-\$7,500. ROI: 3x-6x study cost.

Timing: Year 2 of ownership (2028) after establishing operations

Section 5: Year-One & Year-Two Value Summary

Year-One ROI Breakdown (2027)

Value Category	Conservative Scenario	Aggressive Scenario
Tax Strategies		
Solo 401k Contribution	\$2,400	\$8,400
Home Office Deduction	\$600	\$1,200
Accountable Plan	\$500	\$1,000
Vehicle Section 179	\$2,400	\$4,800
QBI Deduction (20%)	\$1,200	\$2,400
Rental Property Deductions	\$3,600	\$7,200
Tax Strategies Subtotal	\$10,700	\$25,000
Cash Flow & Wealth Building		
W-4 Cash Flow Improvement	\$3,600	\$3,600
Property Cash Flow (Annual)	\$2,400	\$12,000
Side Business Income (Net)	\$15,000	\$30,000
Principal Paydown (Equity Build)	\$3,000	\$4,500
Cash Flow Subtotal	\$24,000	\$50,100
TOTAL YEAR-ONE VALUE	\$34,700	\$75,100

Year-Two ROI Breakdown (2028)

Value Category	Conservative Scenario	Aggressive Scenario
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Tax Strategies		
All Year-One Strategies	\$10,700	\$25,000
Cost Segregation Study (First Year)	\$12,000	\$24,000
Augusta Rule (14 days)	\$1,200	\$2,400
STR Material Participation	\$3,600	\$7,200
Tax Strategies Subtotal	\$27,500	\$58,600
Cash Flow & Wealth Building		
W-4 Cash Flow (Ongoing)	\$3,600	\$3,600
Property Cash Flow (Annual)	\$4,800	\$15,000
Side Business Income (Net)	\$20,000	\$40,000
Principal Paydown (Equity Build)	\$3,500	\$5,000
Property Appreciation (Conservative 3%)	\$10,500	\$13,500
Cash Flow Subtotal	\$42,400	\$77,100
TOTAL YEAR-TWO VALUE	\$69,900	\$135,700

Cumulative Two-Year Impact

Metric	Conservative (2027-2028)	Aggressive (2027-2028)
Total Tax Savings	\$38,200	\$83,600
Total Cash Flow Improvement	\$66,400	\$127,200
Equity Built (Principal + Appreciation)	\$17,000	\$23,000
Total Wealth Created (2 Years)	\$104,600	\$210,800

Average Annual Benefit

\$52,300/year

\$105,400/year

Key ROI Insights

- **Year One Focus:** Foundation establishment, initial tax strategy activation, property cash flow begins
- **Year Two Acceleration:** Cost segregation multiplies tax savings, property appreciation compounds, side business scales
- **Conservative Path:** \$104,600 wealth creation over 2 years = \$52,300/year average benefit
- **Aggressive Path:** \$210,800 wealth creation over 2 years = \$105,400/year average benefit
- **ROI on Implementation:** Professional fees (\$3-5K annually) generate 10x-20x return through tax savings and wealth building

Section 6: 90-Day Action Plan

Week 1-2: Cash Flow & Foundation

- Adjust W-4 for +\$300/mo (IRS calculator)
- Open high-yield savings (Ally, Marcus, Wealthfront)
- Pull all 3 credit reports, dispute errors
- Set up autopay for all credit obligations
- Document current expenses for 30 days

Week 3-4: Side Hustle Launch

- Set up YouTube/TikTok for renovation content
- Create Upwork/Fiverr profiles for engineering
- Research WA foreclosure overage recovery
- Film first 5 videos, post consistently
- Apply to first 10 consulting jobs

Month 2: Systems & Education

- Set up bookkeeping (spreadsheet or Wave)
- Track side income/expenses separately
- Open second checking for business income
- Join BiggerPockets, Spokane RE groups
- Research Spokane STR regulations

Month 3: Momentum & Planning

- Target: \$500-\$1,000/mo combined side income
- Research Solo 401k providers
- Join Spokane STR host groups
- Reach out to 3-5 hosts for interviews
- Identify underperforming listings for cohosting

Section 7: Key Milestones & Decision Gates

March 2026 (4-Month Checkpoint)

Success Criteria:

- Side income: \$500-\$1,000/mo established
- Credit score: 680+ (trending up)
- Capital saved: \$2,000-\$4,000
- Systems functioning

Decision: All met → Proceed to cohosting. Missed → Refocus on income generation.

September 2026 (Critical Milestone)

Debt Settlement Completes

Cash Flow Freed: +\$1,520/month

Expected Status:

- Credit jumps 670 → 700-720 within 60 days
- Capital accumulated: \$8,000-\$12,000
- Side income: \$1,000-\$2,000/mo stabilized
- Cohosting secured or imminent

Action: Redirect \$1,520/mo to aggressive saving (\$2,500-\$3,000/mo target)

December 2026 (14-Month Checkpoint)

LLC Decision Point:

If side income >\$2,000/mo consistently → Form LLC Q1 2027

If <\$2,000/mo → Continue sole proprietor, revisit Q2 2027

April 2027 (18-Month Target) - DEPLOYMENT

House Hack Purchase Target

Required Capital: \$32K-\$54K (conservative-aggressive)

Projected Available: \$30K-\$45K

Decision Options:

1. At \$30-35K: FHA 3.5% down, \$300-325K properties
2. At \$35-45K: Conventional 5% down, \$325-375K properties
3. Below \$30K: Extend 3-6 months
4. Above \$45K: Target higher value or maintain larger reserves

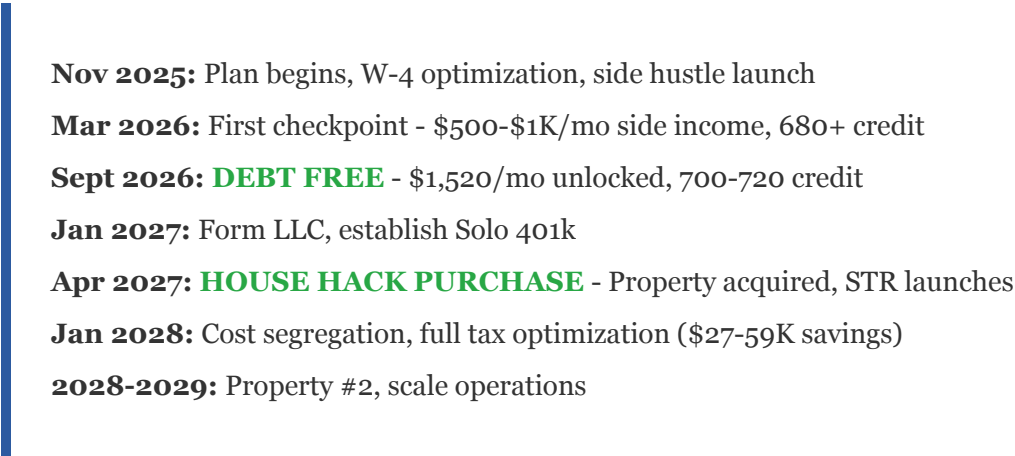
October 2027 (Optimization Launch)

6 months property operations. Engage cost seg firm if STR material participation achieved. Launch year-two tax strategies. Planning for property #2.

Section 8: Timeline Summary

Phase	Timeline	Goals	Success Metrics
Phase 1: Foundation	Now - Sept 2026 (20mo)	Eliminate debt, build capital, improve credit, launch side income	\$8-15K saved, \$1-2K/mo side income, credit 700-720, debt-free
Phase 2: Deployment	Oct 2026 - Sept 2027 (12mo)	Accumulate capital, form entity, purchase house hack, launch STR	Property acquired Apr 2027, \$800-1,500/mo income, LLC formed, \$7-18K tax savings
Phase 3: Optimization	Oct 2027 - Dec 2028+ (15+mo)	Full tax optimization, cost seg, property #2, scale operations	\$27-59K annual tax savings, 2 properties, \$2-5K/mo cash flow, equity building

Visual Timeline



Section 9: Final Recommendations

Immediate Actions (This Week)

1. W-4 adjustment (IRS calculator, +\$300/mo starting next paycheck)
2. Open high-yield savings (move \$1,500 to 4-5% APY account)
3. Pull credit reports (AnnualCreditReport.com, dispute errors)
4. Start 30-day expense tracking
5. Set all credit on autopay

Critical Success Factors

1. Discipline During Debt Settlement

Next 10 months critical. Must maintain \$400-\$500/mo savings while paying debt. This determines April 2027 readiness.

2. Side Income Execution

Not optional—essential. Provides capital, business deductions, entity justification, diversification. Commit 5-8 hrs/week first 6 months.

3. Credit Score Vigilance

Every 20-point gain opens better terms. Never miss payment, keep utilization <10%, avoid new credit applications, monitor monthly.

4. Patient Capital Accumulation

\$25K vs \$40K reserves = stressed vs comfortable ownership. Extra 3-6 months saving provides better negotiating position, repair buffer, vacancy cushion, property selection options.

5. Education & Network

Use 18 months to become expert in STR operations, Spokane market, house hacking, tax optimization, property management. When you purchase April 2027, be more knowledgeable than 95% of first-timers.

What Success Looks Like

End of Phase 1 (Sept 2026)

- Debt-free with \$1,520/mo unlocked
- \$8-15K saved, credit 700-720
- Side income \$1-2K/mo
- Clear path to April 2027 purchase

End of Phase 2 (Sept 2027)

- House hack owned and operating
- Housing cost near-zero or positive
- LLC established, Solo 401k funded \$10K+
- \$7-18K annual tax savings

End of Phase 3 (Dec 2028)

- 2 properties, \$2-5K/mo combined cash flow
- \$27-59K annual tax savings
- Net worth increased \$100-200K
- Systems and team in place for scaling

When to Revisit This Plan

- **March 2026:** 4-month checkpoint
- **September 2026:** Debt completion, Phase 2 calibration
- **December 2026:** Entity decision, property search prep
- **April 2027:** Property acquisition or timeline adjustment
- **October 2027:** Phase 3 launch

Final Thoughts

Ian, this plan is realistic and designed for your specific situation. The 18-24 month timeline to property acquisition might feel long, but it's the responsible path positioning you for sustainable success.

Your goals—STR business, house hacking, multiple income streams—are 100% achievable. Current constraints (limited capital, rebuilding credit, debt settlement) are temporary. The next 10 months of discipline during debt payoff set the foundation for everything that follows.

Key advantages:

- Strong W-2 income (\$175K stability and qualification)
- Washington's zero state tax (24% federal deduction value vs 18-19% elsewhere)
- Spokane's lower entry costs than Seattle/Portland
- Multiple skills enabling diversified income
- Clear roadmap with specific milestones

Success comes down to three factors:

1. **Patience** to build proper foundation
2. **Discipline** to execute consistently
3. **Adaptability** to adjust when needed

You have a clear path. Focus on 90-day priorities. Hit March 2026 metrics. Let September 2026 debt completion catapult you into deployment. By April 2027, you'll purchase your first house hack from a position of strength.

Ready to begin? Start with the 90-Day Action Plan. Mark each item complete as you progress. Schedule your March 2026 checkpoint review.

Your wealth building journey starts today.

Disclaimers

Tax & Legal Disclaimers

This plan provides educational information and strategic guidance. It is NOT a substitute for professional advice.

Tax Strategy Implementation

- All strategies require implementation by qualified CPA
- Tax laws change regularly; verify current rules
- Individual results vary based on specific circumstances
- Conservative estimates assume proper documentation

Real Estate Risks

- Property values can decrease
- Rental income not guaranteed
- Expenses can exceed projections
- STR regulations subject to change

Professional Guidance Required

Consult qualified professionals before implementing:

- **CPA:** Tax strategy, entity formation, compliance
- **Attorney:** Property transactions, LLC formation
- **Mortgage Broker:** Financing options
- **Insurance Agent:** Property and liability coverage

Professional implementation required. This is not tax, legal, or financial advice.